

SECURITIES AND EXCHANGE BOARD OF INDIA

OFFICIAL REGULATORY NOTIFICATION - STATUTORY TEXT

SECURITIES AND EXCHANGE BOARD OF INDIA (INVESTMENT ADVISERS) REGULATIONS, 2013

[Regulation 3(1)] Application for registration as Investment Adviser

On and from the commencement of these regulations, no person shall act as an investment adviser or hold itself out as an investment adviser unless he has obtained a certificate of registration from the Board under these regulations. Unregistered individuals providing paid trading calls or investment advice commit an offense under the SEBI Act.

[Regulation 15(1)] General responsibility and fiduciary duty

An investment adviser shall act in a fiduciary capacity towards its clients and shall observe high standards of integrity, fairness, and professional diligence in all its dealings with its clients.

[Regulation 16(1)] Risk profiling and suitability assessment

Investment adviser shall ensure that: (a) it obtains from client such information as is necessary for the purpose of giving investment advice; (b) it assesses the client's risk appetite, capacity for absorbing loss, and investment horizon; (c) recommendations given to the client are strictly suitable and appropriate for the client's financial standing.

[Regulation 17(1)] Prohibition of Assured Returns and Profit Sharing

An investment adviser shall not promise or assure any specific returns or guaranteed profits to any client under any circumstances. Fee structures linking remuneration directly to a percentage share of client profits or guaranteeing loss recovery are strictly prohibited.

[Regulation 22] Segregation of Execution and Advisory Activities

An investment adviser shall maintain an arms-length relationship between its activities as an investment adviser and distribution or execution services. No investment adviser shall receive any consideration, commission, or fee directly or indirectly from product distributors or mutual fund asset management companies for recommending specific financial products to clients.
